China's New Extraterritorial Rules Increase Trade Risks for Multinationals

By: Tansi Rawat
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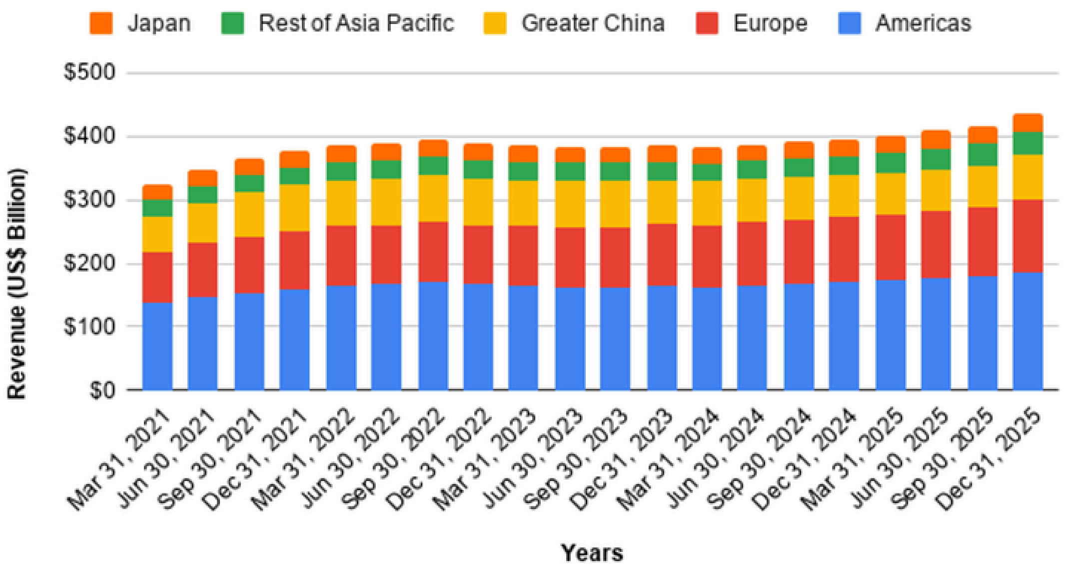
On 14 April, Chinese Premier Li Qiang signed a 20-article State Council decree aimed at countering foreign extraterritorial jurisdiction and strengthening Beijing's legal mechanisms to block overseas sanctions and control cross-border legal conflicts. For multinational companies in China, the new rules indicate growing compliance-related uncertainty, as firms navigating conflicting international operational requirements face the risk of legal enforcement from Chinese agencies.

Apple (AAPL) Revenue by Geography



Source: Stock Analysis

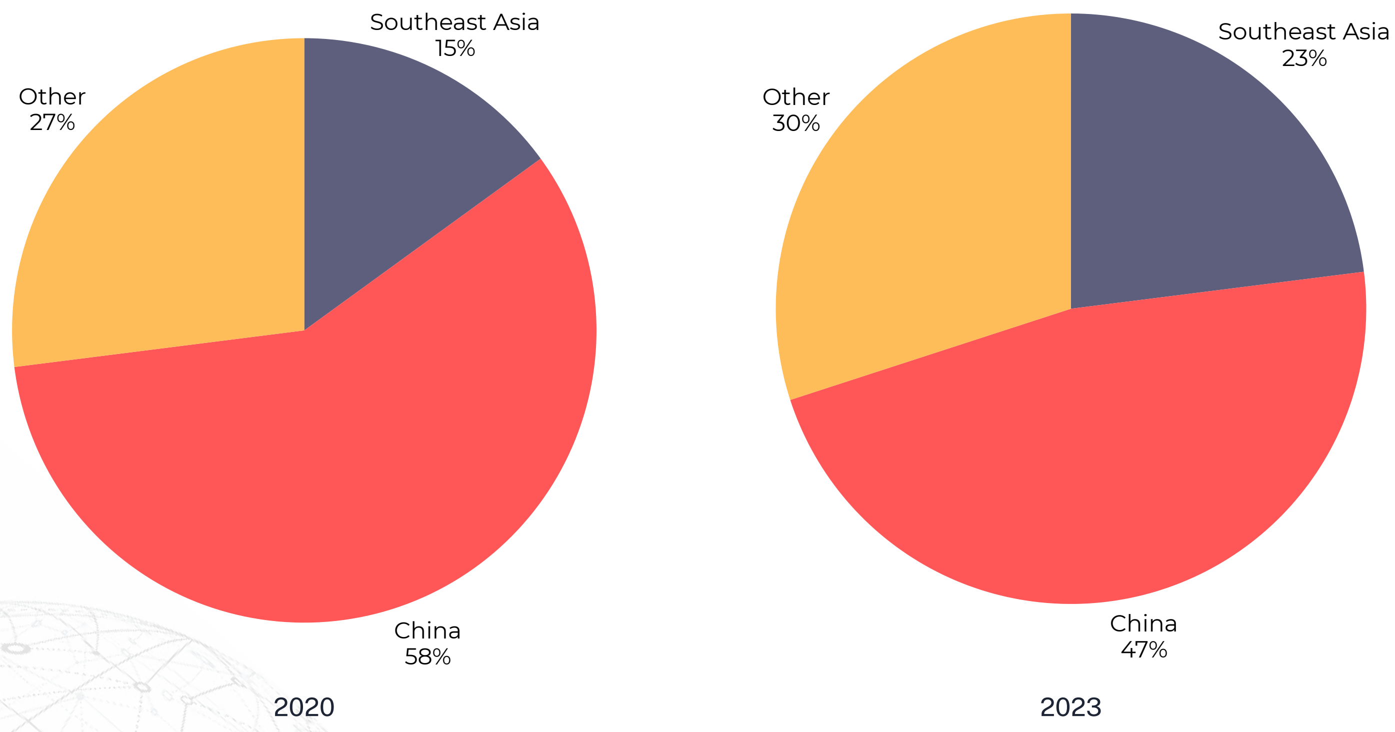
Political and Market Reactions

- The decree gives Chinese authorities the power to take countermeasures such as trade restrictions, freezing assets, and blacklisting against foreign companies. These new rules build on an established trajectory, evidenced by China's 2021 counter-sanctions law, and recent commitments by the Communist Party to strengthen mechanisms against foreign legal interference.
- Officials framed the rules as intended to protect China's sovereignty and economy against what they describe as 'unlawful extraterritorial jurisdiction'. To this end, the regulations introduce a 'malicious entity list' and prohibit firms in China from complying with foreign sanctions or taking commercial decisions due to political pressure back home.
- The CSI 300 Index showed limited movement following the announcement, while the Chinese Yuan remained broadly stable against the US dollar. This suggests investors are not pricing in near-term escalation risk, with analysts viewing the measures as unlikely to trigger immediate capital market disruption

Commercial Implications

- Firms following US frameworks face increased vulnerability, as China's countermeasures could penalise adherence to foreign laws. Approximately one-fifth of Apple's revenue comes from Greater China, implying significant exposure to regulatory divergence between Beijing and Washington.
- Terminations are the most visible trigger for retaliation and multiagency enforcement. This could entail increased compliance costs, exit bans, and potential supply-chain disruptions in the near- and mid-term. Overlapping regimes — particularly US measures such as the Uyghur Forced Labour Prevention Act (UFLPA) and China's counter-sanctions framework — will raise operational complexity across borders.
- Over the longer term, sustained regulatory divergence may accelerate supply-chain restructuring and 'de-risking' strategies, with firms diversifying production outside China to reduce exposure to dual legal regimes. Mitigation measures such as increased compliance screening and regional separation of operations may reduce legal exposure but increase costs and reduce efficiency.

US and EU Brands Have Already Significantly Diversified Their Supplier Bases Out of China



Source: ASEAN Exchanges